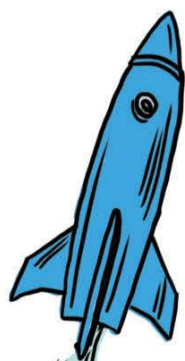


RESILIENT CAPITAL PLANNING

- +** RESERVE FUNDS FOR R&D, IP PROTECTION, AND REGULATORY COMPLIANCE
- +** ALLOCATE CAPITAL BASED ON TECHNICAL MILESTONES AND MEASURABLE OUTCOMES
- +** PRIORITISE INITIATIVES THAT STRENGTHEN THE START-UP'S CORE MOAT
- +** PROTECT IDEAS EARLY AND PLAN FOR LONG-TERM OPERATIONAL SUSTAINABILITY

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According to tech research firm Tracxn, India's deep-tech sector secured \$1.6 billion funding in 2025, a significant rise from \$1.2 billion in 2024 and \$1.1 billion in 2023. Deal volume fell to 274, compared to 393 in 2024 and 350 in 2023. India had more than 3,600 deep-tech registered startups as of October 2024.

The segment is buzzing but the ground beneath is changing rapidly.

CRACKING PRODUCT-MARKET FIT

In deep-tech start-ups, especially in areas such as manufacturing and AI-led systems, operational challenges such as long development cycles, complex integrations, regulatory compliance, talent shortages, and aligning products with real customer needs are often outweighing funding issues.

"If founders can clearly understand the customer problem and build a strong product road map, capital usually follows. Before we invest, we look closely at whether the founding team has clarity on who the customer is and how the product will evolve," says Goyal.

Post-investment, the biggest difference between start-ups that break out and those that struggle is ability to find the product-market fit. This means knowing exactly which customer segment, geography, industry vertical and price point will lead to repeat sales and long-term customer retention.

Many start-ups get early pilots, but unless they can convert those into sustained, repeat businesses, growth is difficult.

Subtl.ai, a Hyderabad-based GenAI start-up, for instance, built enterprise knowledge automation tools but failed to achieve product-market fit; its solution didn't deliver compelling value over existing workflows, leading to low adoption.

"The real risk is when founders fail to crack either product-market fit or go-to-market—at that point, the outcome is often an acquisition or a slow shutdown rather than meaningful scale," says Goyal. Common go-to-market mistakes include targeting the wrong customer segment, overpromising capabilities, neglecting enterprise adoption hurdles, underestimating sales cycles, and failing to align pilots with measurable business impact.

In fact, being resource-constrained is not necessarily a bad thing. It forces founders to think about how they should allocate capital and resources.

"Once you prove real product-market fit (with

